Stride Across the Pacific: Capital One's Australian Playbook

Capital One x Consult for America 2026 Case Competition
Team 106

Agenda

OVERVIEW

1. Company Overview
2. Executive Summary
3. Product
4. Technology
5. Execution
6. Implementation
7. Risks & Mitigants

Market Ripe for Disruption

MARKET OVERVIEW

Mission Statement

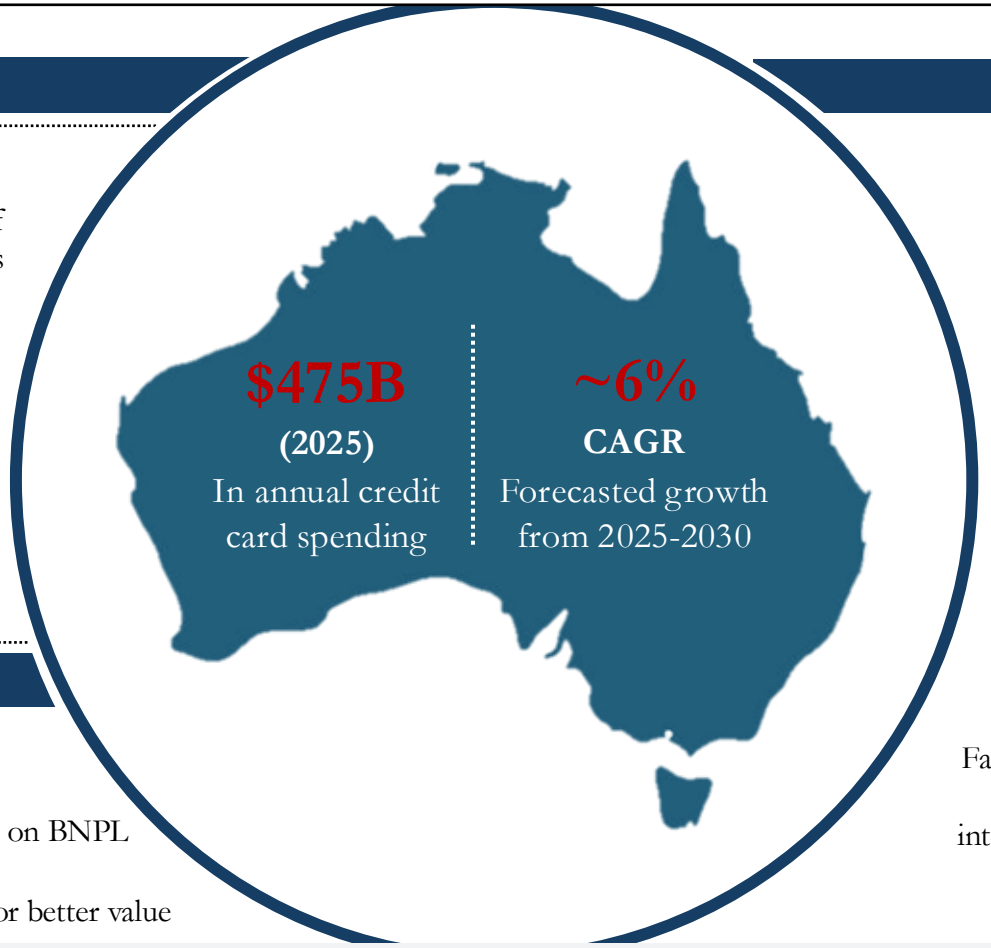
Australia's credit card market presents the same opportunity that formed Capital One's ethos: 30 years of technology-driven service to overlooked customers.

Market Overview

Dissatisfaction Gap
73% of Big 4 customers are dissatisfied, and 13% of consumers plan to open a new card within 6 months

Regulatory Tailwinds
Three simultaneous regulatory shifts: The RBA's interchange reform, Australia's CDR framework expanding, and BNPL restrictions

Cultural Likeness to US
Australia shares language, legal structure, familiar regulatory DNA, and a mature credit ecosystem



The Entry Window

$910M	Annual revenue cut to Big 4 from RBA interchange reform
2.5M+	Young Australians now facing credit checks on BNPL
49%	Of cardholders actively looking to switch for better value

Competitor Overview

CommonwealthBank
Best Big 4 app and largest market share, but premium-focused ignoring the lower-middle class.

ANZ
Stickiest customer base (75% hold 3+ products), but lowest digital satisfaction.

nab
Fastest market share growth but achieved by cutting interest-free days growing by making cards worse.

Westpac
Highest Big 4 satisfaction and strongest brand trust, but weakest digital offering and most branch-dependent.

Key Takeaway: Australia's market, with high consumer dissatisfaction, favorable regulation, and a landscape focused on premium cards, creates clear entry window.

Sources: Reserve Bank of Australia Payments Data, Roy Morgan, J.D. Power, Australia Retail Banking

A New Step for Capital One

EXECUTIVE SUMMARY

Mission

Leverage Capital One's data-driven credit expertise to deliver an innovative product that boldly challenges incumbents in an underserved international market.

Objectives

150K **Accounts** — Significant penetration into the Australian market by 2028

$15.5M **Net Profit** — Financially sustainable operating model

$19M **Savings** — Time-saving and cost-efficient implementation strategy

Market Entry Strategy

Product: Capital One Stride®

Designed to win consumer loyalty through debt-management tools and a competitive, dynamic APR

Technology: Premium Digital Experience

Simplifying technology and expanding coverage will improve user experience and service quality

Execution: Banking-As-A-Service Model

Partnership with infrastructure provider for rapid entry into Australia with guaranteed exit opportunities

Advantages

Digital Capabilities
- Resources of a large company, agility of startup
- Big 4 incumbents lack technical expertise

Proven Expertise
- History of serving consumers with balances
- Decades of risk pricing and collections infrastructure

Regulatory Tailwinds
- Market reshaped by BNPL regulation, surcharge ban, expanded open banking
- Unlike Big 4, no legacy structure to protect

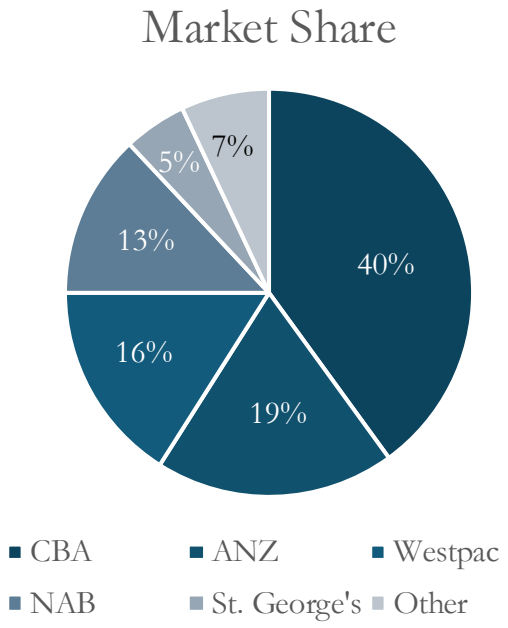
Key Takeaway: Combine technical and operational expertise with structured entry and planning, meaningful market share is captured before incumbents respond.

Sources: Capital One, Forbes, KPMG

Reading the Room: Where Australia's Credit Market Breaks Down

PRODUCT

Current Market



Big Four

CBA, WBC, NAB, and ANZ are entrenched in the market but have become complacent, providing an opening for Capital One to enter and capture share

Market Data

$20.75B

Australian credit card debt accruing interest accrued solely by revolvers

#2

Country in the world for house-hold debt in proportion to GDP at 112.2%

~20%

Standard credit card rate in Australia, essentially unchanged since 2010 despite declining cash rate

Opportunity

The Segment

- ~2/3 of Australian card balances **accrue interest**
- Revolvers: 5x the monthly revenue of transactors
- $20.75B in interest-accruing debt held by consumers with **no product built** for their needs

The Window

- Credit cards consistently in the top 3 products for financial complains out of over 100,000 filed
- Consumer trust in Big Four at a **structural low**
- Capital One's **alt-data infrastructure** and **near-prime playbook**, maps directly onto this segment

Key Takeaway: Disrupt stagnant credit market by using alt-data to serve the $20.75B "revolver" segment currently underserved by complacent Big 4 incumbents.

Sources: IMF, Electronic Payments International, Australian Financial Complaints Authority

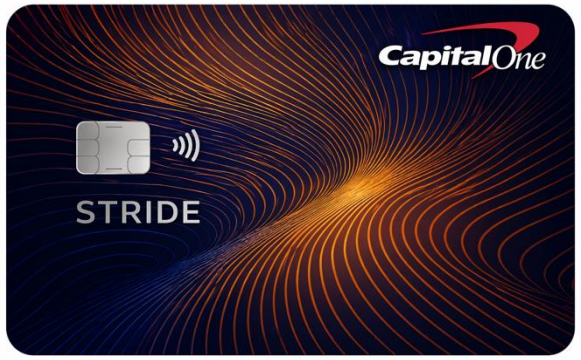
Capital One Stride®

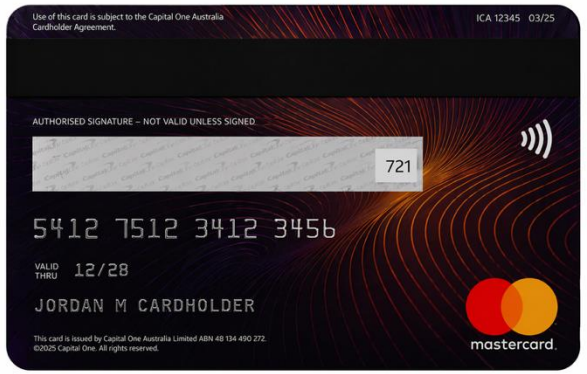
PRODUCT

Consumer-Focused Credit Card for Revolvers

Targets balance-carrying consumers in Australia with a transparent, low-fee, innovative credit product focused on debt management and long-term financial health.

Capital One Stride®





13.35% APR
RBA Cash Rate + 9%

1% Cashback
On Monthly Statement

No Fees
On Foreign Transactions

0% Fee
On Balance Transfers for the First 18 Months

75+
Discounts at select brands

Priority	Feature	What This Looks Like
Removing Barriers	Low Annual Fee + Flexible Approval	• **$0 in Year 1**, $48 p.a. thereafter (waived if spending >$12,000 p.a.) • Instant approval via online application • **Alternative data** in absence of credit
Building Trust	Transparent Terms + Spending/Paying Guardrails	• **Clear disclosure** of fees & deadlines • Real-time **spend tracking and alerts** • Autopay and **pre-payment tools**
Driving Value	Repayment Flexibility + Financial Support	• Debt reduction **progress dashboard** • **No Penalty Rate** with Variable APR • Instant payment pausing, restructuring, and reduction via **in-app hardship portal**

Key Takeaway: Offering lower interest rates, transparent debt tools, and progress-based rewards wins the loyalty of revolvers while improving financial outcomes.

Sources: Australia Securities Exchange, Reserve Bank of Australia, Choice, Roy Morgan

Data as the Differentiator

TECHNOLOGY

Leverage Capital One's advantage as a data and technology-based company to acquire and retain new customer basis.

Capital One's Edge

$500M
Invested in AI/ML (2024)

90%
Of applications cloud-native

30
Years of thin-file underwriting

100M
Customers powering the models

eno from Capital One

AI-powered financial assistant that proactively monitors spending, prevents debt, and detects fraud in real time for 100M+ customers

CDR Credit Decisioning

18.52%
Avg. Big 4 interest rate rewards cards exceed 20%

nab ANZ CommonwealthBank Westpac

With consumer consent, Capital One pulls financial data across **all banks** via Australia's **CDR** framework, enabling **ML-driven approvals** at lower rates with **conservative** $500–$1,500 **starting limits.**

Behavioral Underwriting

34%
Denied for 'unsteady income'



Bureau Score: Denied

CDR Behavior: Approved

Big 4 banks only see their own customer data and reject thin-file applicants. CDR gives Capital One a **cross-institutional** view, approving responsible consumers, with **dynamic limits** that adjust monthly based on **actual repayment behavior**.

Fraud Detection

$1.2B
Annual card fraud growing at 24.7% CAGR since 2021

Capital One will use ML frameworks to **map relationships** to catch fraud rings the Big 4's rule-based systems miss. **Virtual card numbers** protect every online purchase if a retailer is breached, the real card is **never exposed**.

Financial Transparency

73%
Customer dissatisfaction with Big 4 banks



Eno translates banking jargon into dollar terms, "Carrying this balance costs $2.30/day" and **provides a live fee comparison:** "Fees paid to Capital One: $0. Estimated Big 4 fees: $XX." Explains every card decline **instantly**.

Key Takeaway: Leverage CDR data, AI underwriting, Eno intelligence, and merchant partnerships to attract consumers and build retention the Big 4 can't replicate.

Sources: Australia Securities and Investments Commission, Consumer Data Rights Australia, Finder Credit Card Statistics 2026, Reserve Bank of Australia

Technology that Pays for Itself

TECHNOLOGY

More Cardholders → Richer Data → Better Offers + Underwriting → Lower Losses + Retention → More Cardholders

Merchant Funded Rewards

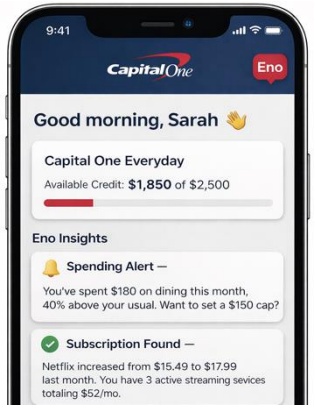
- **Merchants** fund **targeted** cashback offers to reach Capital One cardholders
- Eno **personalizes** offers per customer's spending patterns (e.g., Woolworths shopper sees Coles cashback)
- Performance-based: merchant pays only on **completed purchase**

Replaces interchange dependency with scalable data revenue

Customer Journey

1. Downloads **CreditWise®** for free score monitoring
2. Applies for Capital One Everyday, **CDR data approves** customer in minutes
3. Eno **alerts before** overspending and suggests optimal pay dates
4. **Personalized merchant** offers save up to $40/month on groceries
5. After 12 months of on-time payments, **limit increases**

Eno as Financial Guardian



- Balance **alerts** at 50%/75% utilization
- Spending guardrails: opt-in caps, pay-as-you-go mode
- **Hardship early warning**: ML flags financial stress before

ASIC found Big 4 fail to identify at-risk consumers. Eno does it automatically.

Capital One's incentives align with the customer's: healthy customers stay longer, default less, and generate more data

AUD $148M	AUD $16M	AUD $5M	AUD $49M
Incremental Revenue from CDR-Enabled Approvals	Annual Losses Prevented by Eno	Merchant-Funded Platform Revenue	Combined Technology Value

Key Takeaway: The Big 4 profit when customers carry debt; Capital One profits when customers are healthy, powering a flywheel incumbents cannot copy

Sources: Australia Securities and Investments Commission, Capital One Tech, Cardlytics Inc., Reserve Bank of Australia

The Right Partner at the Right Time

EXECUTION

Cuscal

Australia's **licensed payments infrastructure provider**, giving Capital One **immediate market access**, **card issuing capability**, and **open banking data** through a single strategic, scalable partnership

Cuscal

Financials

AUD $140M

Combined advantage of partnering over direct licensing

Partnership Rationale

ASIC
Australian Securities & Investments Commission

18–24 Months
For Licensing Approval

- Multi-year regulatory delay becomes a near-term launch
- Converts fixed entry barrier to variable partnership cost

500+
Payments Per Second

New Payments Platform

BPAY

- Largest centralized payment infrastructure outside Big Four
- Full stack payment system of card networks, NPP, and BPAY

BASIQ

7 - 10%
Growth YoY in Digital Payments

- Cuscal's Basiq acquisition is access to consumer banking data
- Growing market aligns with Capital One's tech-first mission

Strategic Synergies

1. **Superior Underwriting with Basiq:** Instant access to open banking data for 99% of Australia & New Zealand
2. **Embedded Credit in Payments:** New system layering credit on top of debit rails and real-time payments
3. **Mutual Operating Leverage** Capital One provides incremental revenue, Cuscal spreads fixed costs
4. **Shared Incentive to Scale:** Cuscal is enabler not competitor & receives fixed fee on each account
5. **Parallel Licensing:** File for own licensing while building data and calibrating underwriting model

Key Takeaway: Partnership with Cuscal enables rapid, low-risk market entry while unlocking scalable, data-driven credit innovation and distribution in Australia.

Sources: Cuscal, Business News Australia, Reserve Bank of Australia

Capital One Stride® x Cuscal

EXECUTION

Processing Flow



Card used at merchant

Hits MasterCard Network

Cuscal: technical card issuer

Capital One fraud engine

Transaction approved

Notifications on C1 App

Long-Term Vision



Cuscal gets Capital One to market in 6–9 months. The exit clause ensures **Capital One keeps everything**.

Active Account Fee



- Cuscal receives monthly fee of AUD **$8-15 per account**
- Fee structure negotiated as a **sliding scale**—drops at 50K
- Establish "Active Account" definition upfront for clarity

Revenue Sharing



- Revenue split targets 80–85% to Capital One / 15–20% to Cuscal on **gross interchange**
- Capital One receives 100% of **interest income** & **annual fee**
- Product revenue is explicitly ring-fenced from infrastructure

Exit Rights



- **Unconditional right to migrate** any time after Month 12 with 6 months notice
- Guarantee complete data logs within 30 days of exit notice
- Negotiate **fixed migration fee** of AUD $500–750K flat

95.6%

Share of total gross revenue per account goes to Capital One based on these terms

AUD $94.3M

Total revenue at 150K accounts per year driven by interest, interchange, and annual fees

AUD $270M+

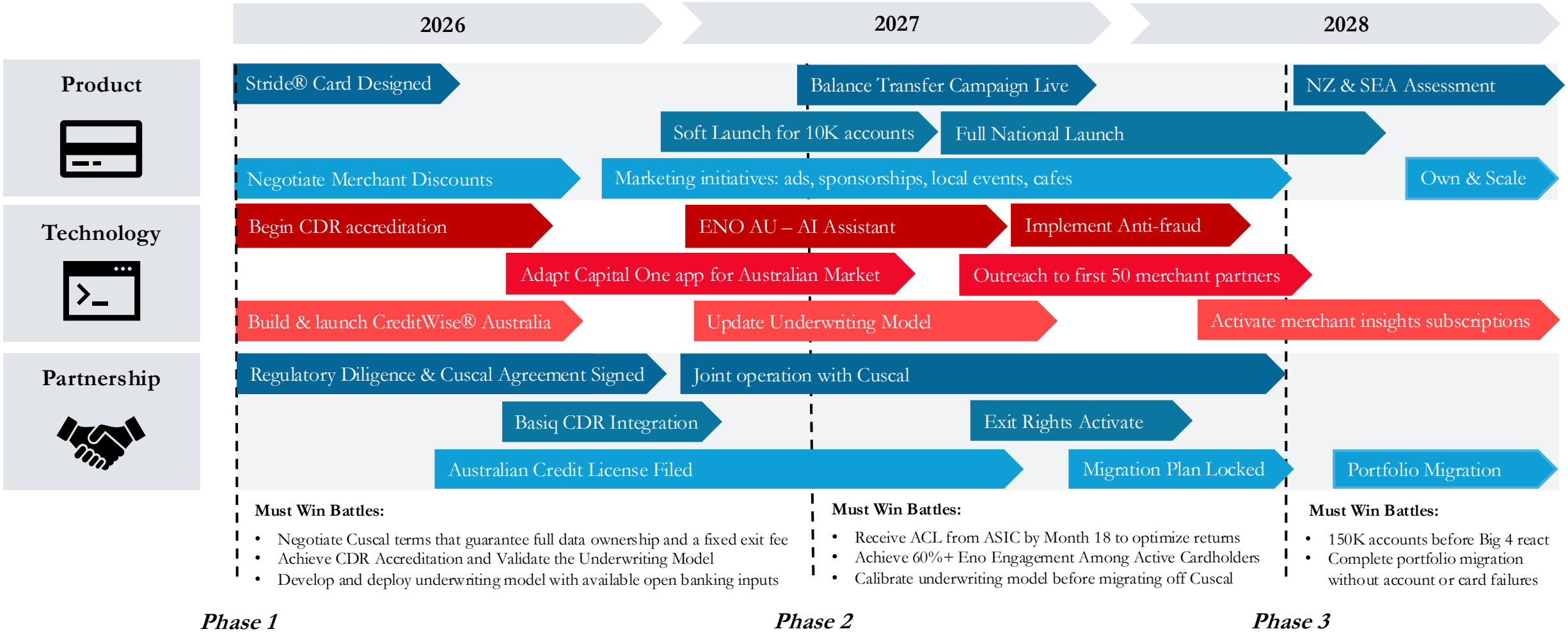
Cumulative financial impact of Exit Rights Clause assuming migration completes Year 2

Key Takeaway: Cuscal delivers a compliant, revenue-generating operation from Month 6, with contractual independence and clear ownership built in from day one.

Sources: Cuscal, Business News Australia, Reserve Bank of Australia

One Stride at a Time: Capital One's Path in Australia

IMPLEMENTATION

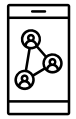


Key Takeaway: 3 Phases — 1. Cuscal partnership buys the time to build the portfolio 2. the portfolio justifies the license, and 3. the license unlocks full economics.

Sources: Capital One, Cuscal, Reserve Bank of Australia

Ready at Every Step: Key Considerations

RISKS & MITIGANTS

		Risk	Mitigants
Product	High-Risk Market 	Stride deliberately serves balance carriers with below-market rates and no penalty	• Models distinguishes responsible revolvers from at-risk ones • $500–$1,500 starting limits cap potential per-account loss • Eno pushes early warning flags before first missed payment
Technology	US – AUS Transfer 	US-trained ML models face unfamiliar Australian-specific behaviors	• Models retrained on Australian CDR during pre-launch • Dynamic limits self-correct in response to new patterns • Quarterly retraining cycles incorporate fresh behavioral data
Execution	Portfolio Migration 	Account loss or card failure during migration directly damages brand trust when Capital One is trying to establish independence	• Phased roll-out of independent Capital One system • 24/7 customer support immediately responding to issues • Extensive risk-testing prior to actual migration kick-off

Key Takeaway: Proactively managing risks at all points of the Stride® lifecycle ensures Capital One's Australia strategy remains scalable, credible, and sustainable.

Sources: Capital One, Forbes

Appendix

Appendix: Income Statement

Capital One - Stride Card (Australia) *Pro Forma Income Statement · AUD*	Per Account/Month	150k Accounts/Month	150k Accounts/Year
REVENUE CALCULATIONS			
Interest income (13.35% on $3,500/mo)	$38.79	$5,820,000	$69,840,000
Interchange income (80% of 0.8% on $1,500/mo)	$9.60	$1,400,000	$16,800,000
Fee income (late / FX)	$4.00	$600,000	$7,200,000
Total Net Revenue	**$52.39**	**$7,820,000**	**$93,840,000**
PROVISION & FUNDING			
Provision for credit losses (2% of $292/mo)	-$5.83	-$874,000	-$10,488,000
Funding cost	-$8.00	-$1,200,000	-$14,400,000
Gross Profit	**$38.56**	**$5,746,000**	**$68,952,000**
OPERATING EXPENSES			
Cuscal infrastructure fee (at 150k users)	-$6.00	-$900,000	-$10,800,000
Operating costs (occupancy, equipment, and people)	-$5.00	-$750,000	-$9,000,000
Cashback cost (1% of $1,500/mo)	-$15.00	-$2,250,000	-$27,000,000
Total Operating Expenses	**-$26.00**	**-$3,900,000**	**-$46,800,000**
EBIT	**$12.56**	**$1,846,000**	**$22,152,000**
Income tax (30%)	$3.77	$553,800	$6,645,600
Net Income After Tax	**$8.79**	**$1,292,200**	**$15,506,400**

Appendix: Cash Flow Statement

Capital One - Stride Card (Australia) *Cash Flow Statement · AUD · First Year Projection (2028)*	Per Account/Month	150k Accounts/Month	150k Accounts/Year
OPERATING ACTIVITIES			
Net income after tax	$8.79	$1,292,200	$15,506,400
+ Provision for credit losses (non-cash add-back)	$5.83	$874,500	$10,494,000
Change in Working Capital			
– Increase in other assets / prepayments	-$0.42	-$63,000	-$756,000
+ Increase in accounts payable	$1.25	$187,500	$2,250,000
+ Accrued interest receivable	$1.89	$283,333	$3,400,000
Net Cash from Operating Activities	**$17.34**	**$2,574,533.33**	**$30,894,400.00**
INVESTING ACTIVITIES			
– Loans held for investment (1/2 of total balances outstanding)	-$147.22	-$22,083,333	-$265,000,000
– Technology infrastructure & platform build	-$1.94	-$291,667	-$3,500,000
– Cuscal / BaaS integration	$0.44	$66,667	$800,000
Net Cash from Investing Activities	**-$148.72**	**-$22,308,333**	**-$267,700,000**
FINANCING ACTIVITIES			
+ Credit facility drawdown (1/2 of total balances outstanding)	$147.22	$22,083,333	$265,000,000
– Funding cost paid (interest expense)	-$8.00	-$1,200,000	-$14,400,000
(+/-) Long term debt	-$2.00	-$300,000	-$3,600,000
Net Cash from Financing Activities	**$137.22**	**$20,583,333.33**	**$247,000,000.00**
NET CASH POSITION			
+ Net cash from operating activities	$17.34	$2,574,533	$30,894,400
+ Net cash from investing activities	-$148.72	-$22,308,333	-$267,700,000
+ Net cash from financing activities	$137.22	$20,583,333	$247,000,000
Net Change in Cash	**$5.84**	**$849,533**	**$10,194,400**

Appendix: Discounted Cash Flow

Capital One - Stride Card (Australia) *DCF · AUD · Five Year Projection (2028-2033)*						
Year	**2028**	**2029**	**2030**	**2031**	**2032**	**Terminal**
USER ACCOUNT ASSUMPTIONS						
Number of accounts	150,000	210,000	285,000	370,000	460,000	500,000
YoY account growth	-	40.00%	35.71%	29.82%	24.32%	8.70%
UNLEVERED FREE CASH FLOW BUILD (in thousands, scaling from 150k user base)						
Net income after tax	$15,506.00	$21,708	$29,461	$38,248	$47,552	$51,687
+ Provision for credit losses (non-cash)	$10,494.00	$14,692	$19,939	$25,885	$32,182	$34,980
– Increase in other assets / prepayments	-$756.00	-$1,058	-$1,436	-$1,865	-$2,318	-$2,520
+ Increase in accounts payable	$2,250.00	$3,150	$4,275	$5,550	$6,900	$7,500
+ Accrued interest receivable	$3,400.00	$4,760	$6,460	$8,387	$10,427	$11,333
Net Cash from Operating Activities	**$30,894**	**$43,252**	**$58,699**	**$76,205**	**$94,742**	**$102,980**
– Loans held for investment (1/2 of total balances outstanding)	-$265,000	-$371,000	-$503,500	-$653,667	-$812,667	-$883,333
– Technology infrastructure & platform build	-$3,500	-$3,150	-$2,800	-$2,100	-$1,400	-$700
– Cuscal / BaaS integration credit	$800	$800	$800	$800	$800	$800
Net Cash from Investing Activities	**-$267,700**	**-$373,350**	**-$505,500**	**-$654,967**	**-$813,267**	**-$883,233**
+Add back: debt-funded receivables (non-FCF)	$265,000	$371,000	$503,500	$653,667	$812,667	$883,333
– Funding cost paid (interest expense)	-$14,400	-$20,160	-$27,360	-$35,520	-$44,160	-$48,000
(+/–) Long term debt	-$3,600	-$3,600	-$3,600	-$3,600	-$3,600	-$3,600
Unlevered Free Cash Flow	**$10,194**	**$17,142**	**$25,739**	**$35,785**	**$46,382**	**$51,480**
DCF VALUATION (in thousands)						
Discount period (years)	1	2	3	4	5	-
Discount factor (14% WACC)	0.877	0.769	0.675	0.592	0.519	-
PV of free cash flow	$8,940	$13,182	$17,374	$21,185	$24,072	-
Sum of PV					**$84,752**	
Terminal value (Gordon Growth)					$514,850	
PV of terminal value					$267,207	
Enterprise Value					**$351,960**	

Appendix: Digital Experience Valuation

Comprehensive Valuation		
Metric	**Value**	**Description**
Incremental Revenue (CDR Approvals)	AUD $28M	AI underwriting unlocks new customers
Losses Prevented (Eno)	AUD $12M	Debt prevention tools
Merchant Platform Revenue	AUD $5M	Data-driven merchant revenue
Fraud Savings (ML Detection)	AUD $4M	Reduced fraud losses
Total Value	AUD $49 M	Combined annual value

Consumer Data Right Value		
Step	**Assumption**	**Value**
Total cardholders	Year 10 target	1M
CDR-enabled approvals	20%	200K
Interchange revenue	Spend × rate	AUD $630K
Interest income	Revolvers	AUD $2.12M
Other revenue	Fees etc.	AUD $500K
Total		AUD $28M

Merchant Offerings Valuation		
Step	**Assumption**	**Value**
Active users		1M
Engaged users	25%	250K
Redemptions/year		2M
Placement revenue		AUD $500K
Data subscriptions		AUD $3M
Premium placement		AUD $1.5M
Total		AUD $5M

Appendix: Program Launch Analysis

Revenue Sharing Model				
Revenue Stream	**Gross Account/Month**	**Cuscal Share**	**Capital One Share**	**Capital One %**
Interchange (0.8% on $1,500)	$12.00	$2.40	$9.60	80%
Interest income (13.35% on $3,500)	$38.79	$0	$38.79	100%
Annual fee ($48 amortised)	$4.00	$0	$4.00	100%
Total gross revenue	$54.79	$2.40 (4.4%)	$52.39 (95.6%)	95.60%

Direct Licensing vs. BaaS with Cuscal Cost Comparison			
Cost Category	**BaaS with Cuscal**	**Direct Licensing**	**Saving**
Pre-revenue infrastructure build	$0	AUD $15–25M	$15–25M
Regulatory & legal (Year 1)	~$1M	AUD $3–5M	$2–4M
Compliance team (Year 1)	~$1.5M	AUD $2–4M	$0.5–2.5M
Scheme membership setup	$0	AUD $1–3M	$1–3M
Cumulative infrastructure fees (24 months)	~$19.8M	$0	-$19.8M
Net financial advantage			AUD $19–35M

Exit Clause Valuation	
Metric	**Value**
Fixed migration fee	AUD $500–750K
Data transfer window	30 days
Parallel operation period	90 days
Total transition period	~120 days
One-time legal and compliance cost of migration	~AUD $250–400K
Total all-in exit cost	AUD $750K–1.15M